

Illinois taxes an estate eleven million dollars earlier than the federal government does.

Most families in the western suburbs are planning against the federal number.

The federal number is not the one that reaches them.

ESTATE OF \$4,000,000	ESTATE OF \$5,000,000	THE FIRST MILLION OVER THE LINE
\$0	\$285,714	28.6%
Illinois estate tax, on an estate held entirely in Illinois. Also zero federal.	Illinois estate tax on the same basis. Federal tax on that estate is still zero.	What that million costs in Illinois. The same million below the federal exemption costs nothing.

BOTH FIGURES ARE THE ATTORNEY GENERAL'S OWN PUBLISHED COMPUTATION EXAMPLES • ILLINOIS ATTORNEY GENERAL, IMPORTANT NOTICE REGARDING ILLINOIS ESTATE TAX AND FACT SHEET • 35 ILCS 405

Illinois does not have portability, and the gap widens every year.

The federal exemption is \$15,000,000 per person for 2026, made permanent by the July 2025 tax act and indexed to inflation from 2027 forward. The Illinois exclusion is \$4,000,000, has never been indexed, and has not moved in more than a decade. HB2601 would have raised it to \$8,000,000; it was re-referred to the House Rules Committee in March 2025 and has not passed. Every year the federal number rises, the distance between the two grows.

"The portability and carry-over of the unused federal exemption to the surviving spouse is inapplicable to the computation and assessment of the Illinois Estate Tax."

If the first spouse dies without planning, that \$4,000,000 exclusion is not carried over. It is gone.

\$13,610,000 → \$0

The fix is in the same document as the problem, and it has a nine-month clock on it.

The Attorney General's fact sheet also works an estate of \$13,610,000, with a surviving spouse and an Illinois QTIP election of \$9,610,000, to zero Illinois estate tax. Illinois has permitted a state-only QTIP election for deaths on or after January 1, 2009, separate and independent from any federal election.

It must be made on a timely filed Form 700, due nine months after death, with the election box checked and the property scheduled. Nothing about it is automatic. It requires someone who is watching for it while the documents, the balance sheet, and the return are all still in motion.

35 ILCS 405/2(B-1) • ILL. ADMIN. CODE TIT. 86, §2000.200

A house in Western Springs, two retirement accounts, and a term policy you own yourself clear \$4 million faster than most families expect.

A life insurance death benefit counts toward the taxable estate when the insured owns the policy. The protection can be the thing that triggers the tax.

Illinois figures are current as of August 2026 and should be re-verified against 35 ILCS 405 and the Attorney General's current fact sheet before being relied upon. This page is educational and is not investment, tax, or legal advice.

Where the seams show.

Most families near this line are not badly advised. They are **separately** advised. Sixty-seven percent of wealthy Americans work with more than one advisor, rising to seventy-one percent among those forty-four and older. The attorney drafts a sound document, the accountant files a correct return, the advisor builds a reasonable portfolio, and no one owns whether the three agree.

BANK OF AMERICA PRIVATE BANK, STUDY OF WEALTHY AMERICANS, 2024

36 → 820

A household holding nine financial objects, meaning accounts, entities, policies, and documents, has thirty-six relationships between them that have to stay consistent. At forty-one objects it has eight hundred and twenty.

ILLUSTRATION, NOT A RESEARCH FINDING. PAIRS = $N(N-1)/2$

INHERITED RETIREMENT ACCOUNTS

10 years

The stretch IRA is gone. Most non-spouse heirs must empty an inherited retirement account within ten years of the owner's death, and where the owner had already begun required distributions, take them in years one through nine as well. The waivers covering 2021 through 2024 have expired. A shortfall carries a 25 percent excise tax.

The distributions land as ordinary income, usually in the heir's highest-earning decade. Whether to convert during the owner's lifetime is a portfolio question, a tax question, and an estate question at once. It is normally asked by nobody.

SECURE ACT 2019 • IRS FINAL REGULATIONS 18 JULY 2024, EFFECTIVE 2025

WHO IS ACTUALLY WATCHING THE TAX

92% / 17%

Ninety-two percent of advisors serving high-net-worth clients report being asked for tax guidance. Seventeen percent treat after-tax return as a primary driver of portfolio decisions.

That is not an accusation from a competitor. It is the industry measuring itself, published by the largest asset manager in the world, and it is the cleanest description available of the gap between what families ask for and what the arrangement around them delivers.

BLACKROCK ADVISOR TRENDS SURVEY • 1,023 U.S. ADVISORS, FIELDIED AUGUST TO SEPTEMBER 2025, PUBLISHED JANUARY 2026

WHAT THE VEHICLE COSTS, BEFORE FEES

1.90% / 0.70%

Over the ten years ended December 2024, taxes consumed an average of 1.90 percent of return annually for U.S. large-cap equity mutual funds and 0.70 percent for equity ETFs. On \$100,000 that difference left the ETF investor with more than \$30,000 in additional value.

In 2024, over 80 percent of U.S. equity mutual funds distributed capital gains, against 5 percent of ETFs. For many funds the tax cost exceeds the expense ratio, and almost everyone shops the expense ratio.

MORNINGSTAR DATA, AS REPORTED BY AMERICAN CENTURY INVESTMENTS, AUGUST 2025

THE DOCUMENTS THEMSELVES

46%

Among households holding \$3 million or more in investable assets, 46 percent have all three of a will, a living will or advance directive, and a durable power of attorney. Fifty-five percent have a trust, and a third say they understand trusts well.

Among the business owners in that group, 78 percent call succession planning important and 20 percent have a fully documented plan. The intent is nearly universal. The execution is where it stops.

BANK OF AMERICA PRIVATE BANK, STUDY OF WEALTHY AMERICANS • 1,431 RESPONDENTS WITH \$3M+, FIELDIED JANUARY TO FEBRUARY 2026, PUBLISHED JUNE 2026

Coordination is the product. What the family keeps is the result.

Driftwood Wealth is the private-wealth practice of Alec Messino. The work is making the portfolio, the tax return, and the estate documents agree before a deadline forces the question. That means working alongside the attorney and the accountant rather than around them, and building the analysis to be handed to them rather than withheld.

Nearly six years at Dimensional Fund Advisors across four groups. CFA Level III candidate. Series 7 and Series 66. Licensed in Illinois and Texas.

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